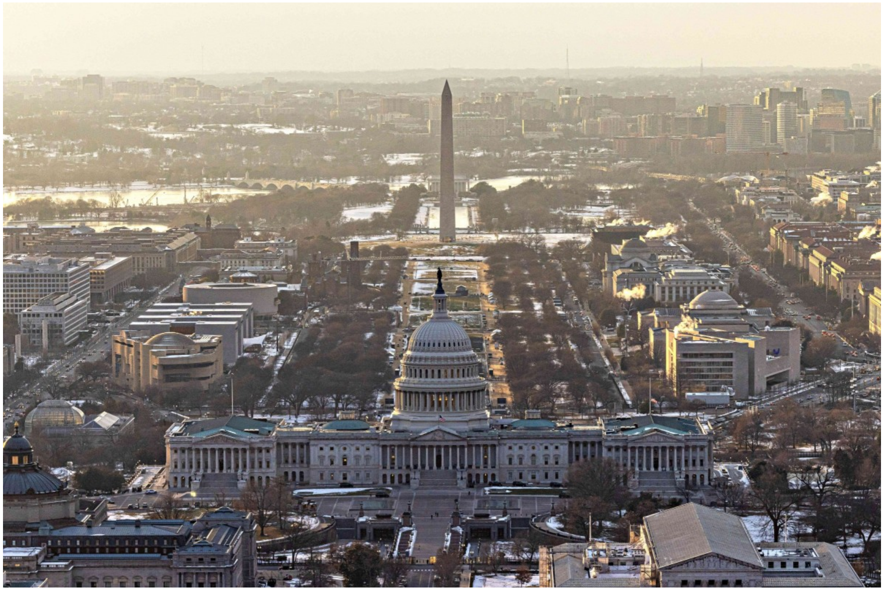
Webinar: Iran ceasefire – what next for markets and the economy?

Join our next live webinar on Thursday 9 April, where ING's team of economists and strategists will meet to discuss the potential economic impact of a conditional two-week ceasefire between the US and Iran. Sign up here



Oil prices have tumbled on news that the United States and Iran have agreed to an initial two-week ceasefire, potentially allowing energy flows to resume through the Strait of Hormuz. Risk assets have surged, and rate hike expectations have been pared back. But needless to say, the situation remains both uncertain and fragile.

Join ING's economists and strategists for their first take on what the news means for the global economy and financial markets.

They'll discuss:

- How quickly energy flows can resume through the Strait of Hormuz, and the scenarios for the second quarter

- The impact of the conflict so far on global supply chains and global growth
- How high inflation is likely to rise and whether central bank rate hikes are back off the table
- Whether bond yields have further to fall
- The direction for EUR/USD and scenarios for FX markets

Speakers

- **Carsten Brzeski** (Global Head of Macro Research)
- **Ewa Manthey** (Commodities Strategist)
- **Chris Turner** (Global Head of Markets and Regional Head of Research for UK & CEE)
- **Michiel Tukker** (Senior UK & Eurozone Rates Strategist)
- **James Smith** (Developed Markets Economist)

Details

Date: Thursday 9 April

Time: 0900 BST/1000 CEST

The webinar will last 30 minutes and will feature a Q&A session at the end.

The event will take place online, and the waiting room will open 60 minutes ahead of the scheduled start time.

A joining link will be emailed following registration, and you will receive a reminder email 10 minutes before the scheduled start time.

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CNY at a glance: China's yuan moves into our bullish scenario

News of a US-Iran ceasefire has pushed the Chinese yuan higher, breaking through our previous forecast band and prompting an update. We're setting the new forecast band at 6.70-7.05, formerly our bullish scenario for the CNY this year

China's yuan has risen more than 2% against the dollar this year

6.70-7.05

Our updated 2026 USD/CNY fluctuation band

Adjusted lower amid continued bullish factors for the yuan

CNY has outperformed most currencies vis-a-vis the dollar this year

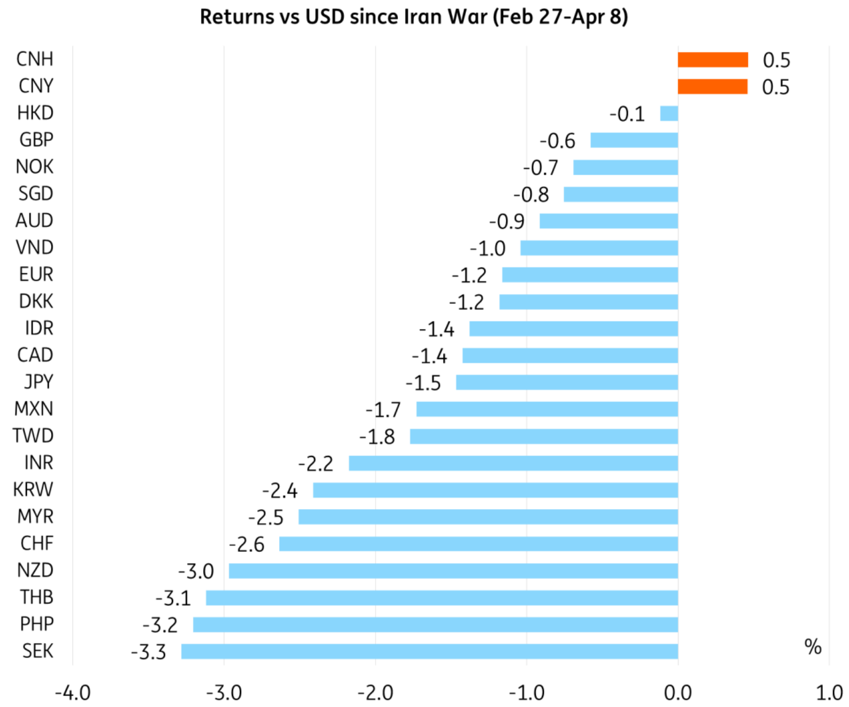
The Chinese yuan has tended to fall in the middle of the pack in terms of its performance versus the US dollar in the past few years, as the currency stability objective of the People's Bank of China has led to very limited movement in the yuan.

This has changed so far in 2026. Year-to-date, the CNY has actually been one of the notable outperformers against the USD, up 2.3%, easily outperforming most other Asian currencies on the year. Since the outbreak of the Iran war to the time of writing, the yuan (CNY) and the offshore yuan (CNH) are the only currencies in our tracked basket that have actually gained against the USD.

So what's the story behind this surprising outperformance?

- First, the market's bullish sentiment has carried forward. We wrote about the building bullish sentiment in the last update of this report in January. In our conversations with a wide range of market participants, we note that this bullish sentiment on the CNY remains intact and seemingly quite widespread.
- Second, policymakers appear content to allow for further CNY strengthening. There was some question about this when policymakers cut the foreign exchange risk reserve ratio from 20% to 0% in what was an apparent attempt to halt the pace of CNY appreciation. However, after the outbreak of the Iran war, and the immediate spike in oil prices, there appeared to be a change of heart, as the PBoC's daily fixings suggested a tolerance for further appreciation.
- Third, macro level drivers continue to suggest room for further appreciation of the CNY versus the USD if the situation in the Middle East is brought under control. China's exports are off to another strong start this year, suggesting that the current account surplus is going to remain a positive factor for the yuan. Meanwhile, the currency has largely weathered the widening US–China yield spread, which should resume its narrowing trend if inflation expectations come under control. That is far from guaranteed. Since the outbreak of the war, two dominant narratives have emerged: warnings from experts that markets may be underestimating the impact, and a widely held expectation among investors of a TACO ('Trump always chickens out') scenario and eventual normalisation.
- Fourth, the CNY has been a surprising winner of the Iran war, despite China's role as the largest oil importer in the world. At least a few market participants have mentioned re-evaluating the "China risk premium" amid rising global uncertainty elsewhere, which has led to China looking more and more like the adult in the room. While the actual direct impact has been tangential at best, discussions of the potential damage to the petrodollar system and rise of the petroyuan – aided by Iran's plans to collect a fee for passage through the Strait of Hormuz to be collected in CNY or cryptocurrency – may have also added to longer term bullish expectations for the CNY.

CNY and CNH have been the surprising outperformers since the Iran war broke out



Source: Bloomberg, ING

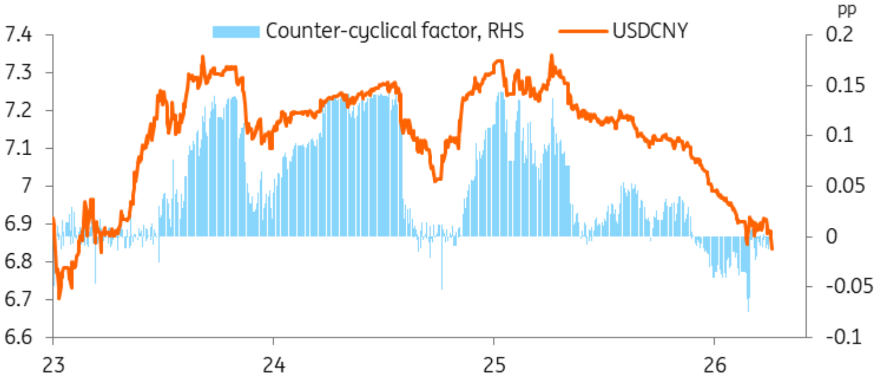
PBoC fixings suggest no opposition to gradual appreciation

In this report series, we've often talked about the PBoC's currency stability objective as one of the key deciding factors for the trajectory of the USD/CNY. The PBoC has exerted its influence on the currency primarily through its daily fixings. The counter-cyclical factor, which is the adjustment it makes to the daily fixing versus the previous day's market closing price, has been heavily relied on to curb excessive movements of the USD/CNY during periods of heavy market speculation. In the last few years, this has mostly been used to push back against heavy depreciation pressure. Towards the end of 2025, however, this pattern started to reverse, with the PBoC using fixings to push back more cautiously against appreciation.

The PBoC's counter-cyclical factor has been very close to neutral for most of March and the start of April, after leaning more forcefully against rapid appreciation in previous months. This has sent a signal that policymakers are open to the CNY continuing to strengthen, and remains one of the main factors supporting CNY appreciation. This was a little surprising as the counter-cyclical factor and the cutting of the foreign exchange risk reserve ratio from 20% to 0% had appeared to signal an effort to rein in CNY appreciation back in February.

The outbreak of the war in Iran looks to be the reason for the renewed embrace of a stronger CNY. China remains the world's largest oil importer, and while a slight appreciation of the CNY certainly won't offset the surge in oil prices, it can at least help mitigate the potential pain. Other factors may include the senior-level comments on attempting to balance trade and ramp up imports, to which a strong CNY would also contribute. Furthermore, it is possible that higher inflationary pressure and uncertainty from the war will delay potential PBoC rate cuts; as a result, we have pushed our forecasts back from 2Q26 to the second half of the year. Even though PBoC cuts tend to be modest, a delayed rate cut is nonetheless a positive factor for CNY appreciation.

Counter-cyclical factor has been mostly neutral compared to previous years



Sources: Bloomberg, CEIC, ING

CNY has shrugged off a sharp widening of yield spreads

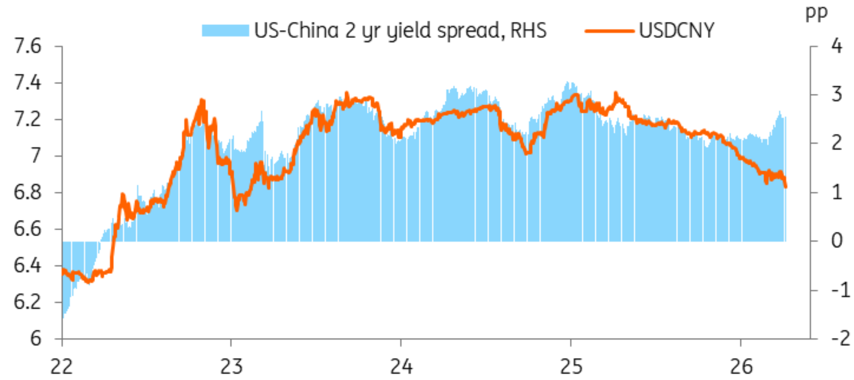
US-China yield spreads have been a major driver of the USD/CNY's trajectory over the past few years. Higher US yields have been a key reason why Chinese exporters have kept a large share of their proceeds offshore, contributing to CNY weakness in recent years. However, as the Federal Reserve resumed its rate cutting cycle, the yield spread began a more predictable narrowing trend from early 2025 through early 2026.

The Iran war has quickly derailed this story, as US yields moved higher while Chinese yields edged a little lower. Over recent weeks, the two year US–China yield spread widened to its highest level since February 2025. Yet this translated into only a modest softening of the CNY over the same period, and by the time of writing, renewed prospects for peace have led markets to largely shrug off the wider yield spread entirely.

There's still a relatively high level of uncertainty on this front, mostly from the US side of the equation. If inflation remains under control, and the Fed eventually resumes rate cuts after a few pauses, we'll likely see a return of the narrowing yield spread story, which will further fuel CNY appreciation expectations. This is one of the reasons why the CNY has strengthened considerably on today's news of a two-week ceasefire.

However, if we move into a longer rate hold, or worse, a Fed rate hike environment where the yield spread stays elevated, the bullish case for the CNY begins to look weaker. This is a potential outcome of a longer war scenario, and remains worth monitoring.

CNY has continued to appreciate despite spike in yield spreads



Sources: Bloomberg, CEIC, ING

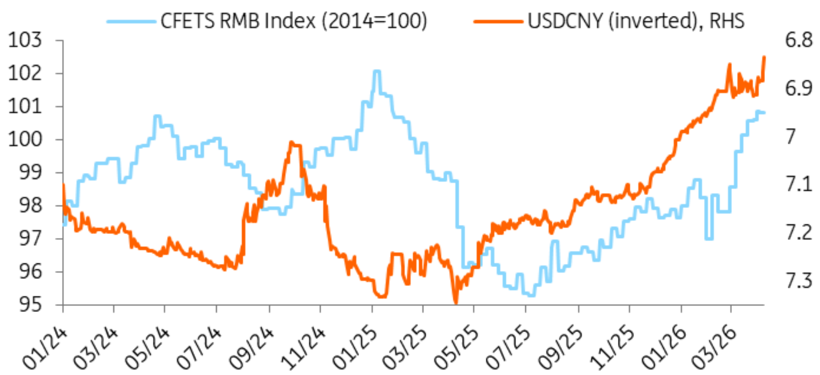
CNY's recent outperformance across the board may not hold if peace is successful

We wrote earlier about the CNY's surprising outperformance against the USD since the start of the Iran war, beating the other currencies in our monitored basket.

As such, it should come as no surprise that the CFETS RMB index, which heavily weights the euro (17.9%), Korean won (8.5%), and Japanese yen (8.1%) alongside the US dollar (18.3%) has also strengthened noticeably in the same period. This index is up 2.3% since the start of the Iran war, and 2.9% year-to-date.

While we are still optimistic about the CNY's prospects against the USD, the performance versus other pairs could lag behind by comparison. Other currencies, which have generally fared poorly after the Iran war, could bounce back more strongly, limiting the CNY's relative scope for further appreciation. As such, the CFETS RMB index could underperform versus the USD if we see a scenario where the peace holds and the strong dollar backdrop fades.

CFETS RMB index has also outperformed in the recent strong dollar environment



Sources: Bloomberg, ING

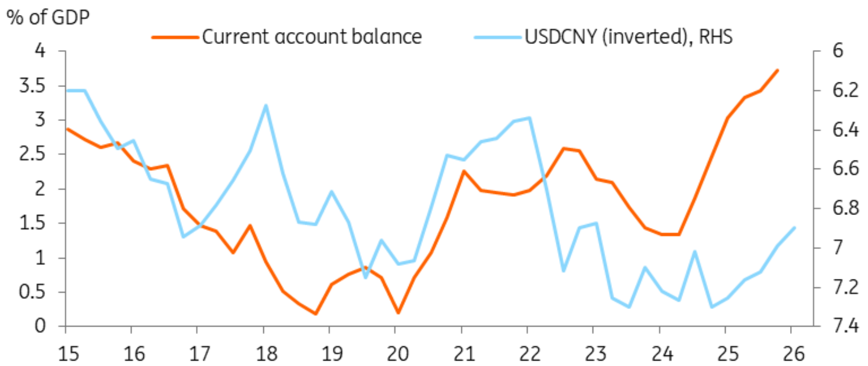
Current account shows no sign of letting up so far in 2026

China has been running an especially strong current account surplus in the last couple of years, as external demand has been resilient despite the trade war. Despite facing a largely unfavourable base effect, China's trade growth appears to be off to another strong start this year. While imports look likely to rebound as well this year, China's trade surplus will remain very significant.

This is relevant for the CNY as the currency has shown clear historical correlation with the current account, as exporters tended to remit proceeds back into the CNY. This relationship appears to have broken down in recent years. While the current account balance has risen sharply, USD/CNY has remained largely range bound. This reflects exporters holding a greater share of foreign currency proceeds due to more attractive yields abroad relative to China, as well as generally subdued domestic investment appetite – underscored by the fact that 2025 marked the first year on record in which fixed asset investment contracted on an annual basis since data publication began.

What does this mean for the CNY? Assuming that exporters eventually begin to convert holdings back to the CNY – either to meet domestic obligations or as yield spreads narrow – this would translate into a lot of pent-up demand for the CNY. We have already observed this to be a factor during the CNY's rally to date, but considering the current levels for the CNY and the current account balance, it could be argued there's still plenty of room to go.

Current account balance suggests more strength for CNY ahead



Sources: Bloomberg, ING

Rise of the 'petroyuan' remains a long-term theme rather than a short-term catalyst

Iran's potential move to turn the Strait of Hormuz into a tolled passageway – requiring payments in cryptocurrency or CNY – has sparked lively debate about what this could mean for the yuan's future. This includes renewed interest in the so called 'petroyuan', perhaps last discussed prominently near the start of the Russia-Ukraine war, when sanctions on Russia resulted in much of the country's oil trade with China moving to the CNY.

One interesting argument was that, if the Iran war were to end with Iran successfully controlling the Strait of Hormuz, this could lead to a system in which payments for passage are collected in CNY, and eventually to oil trade flows through the Strait and into Asia being denominated in CNY. In this scenario, the Iran war would be seen as dealing a major blow to the petrodollar system, with the CNY emerging as a key beneficiary amid an acceleration towards a 'petroyuan' system, and the world taking another step towards a more multipolar order.

It's not surprising why this topic has garnered interest and discussion. However, there are a few logical leaps that appear to occur here; it's assumed that the trade going through the Strait would be priced in CNY, rather than just the fee for passage. This would require the cooperation of all of the Gulf states, and there hasn't been anything to indicate that such a shift is currently in the works. It also assumes that Iran permanently assumes control of the Strait, and passing ships willingly pay the fees.

In the near term, the impact is likely to be very incremental. After all, there is not a strong level of clarity on Iran's criteria for letting ships through the Strait of Hormuz, with only a small number of tankers currently permitted to transit. Among those ships that have secured passage, it is unclear whether or not a toll was paid, and whether the payments were made in CNY or other currencies.

In a thought exercise where we take the most optimistic assumptions, where traffic to the Strait of Hormuz is fully restored to around 100 vessels a day or 36k vessels a year, and that every single vessel that passed through the Strait ended up paying a USD 2mn equivalent fee in CNY, we'd still only get a somewhat paltry USD 72bn or RMB 491bn.

In a vacuum, this increases CNY demand and global usage. But how significant is that in the grand scale of things? Considering that China's Crossborder International Payments System (CIPS) handled around RMB 180tn of payments in 2025, an extra RMB 491bn wouldn't be negligible but far from a gamechanger.

Nonetheless, the fact that the CNY was requested as a payment currency certainly is something interesting to watch. It is a real-world example of the CNY's rising clout and a vote of support for China acting as a counterweight to the US-dominated financial system.

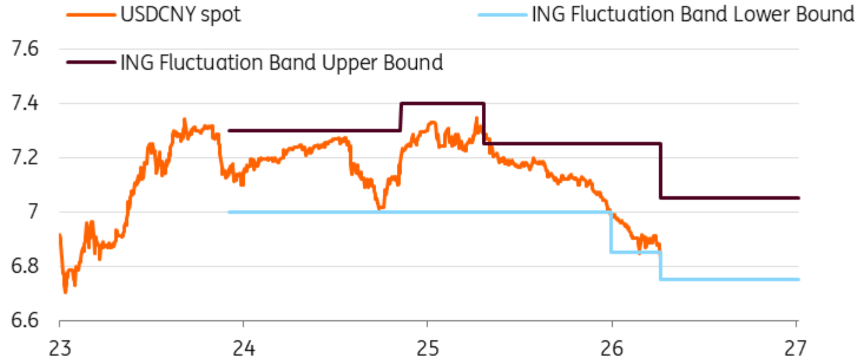
CNY's continued outperformance pushes us into the bullish forecast band

We are moving on from the previous baseline forecast fluctuation band of 6.85-7.25 for the USD/CNY, and lowering the new forecast fluctuation band to what was formerly our bullish scenario forecast of 6.70-7.05. We lower the year-end USD/CNY forecast to 6.75.

The CNY has performed stronger than expected after policymakers ended the pushback against appreciation, and has largely shrugged off a strong dollar environment and elevated global uncertainty to continue its appreciation trajectory.

Risks to the band look roughly balanced at this point. Bullish factors remain in place, but markets also look largely positioned for this already, and it would still be a little surprising to see the PBoC tolerate the CNY strengthening past 6.70 this year; recall that the 6.70 level was basically the strongest for the CNY since currency stabilisation became a more prominent theme back in 2023. On the other hand, a bearish reversal past the top end of the band would likely require new catalysts such as a substantially more hawkish global central bank environment widening China's yield spreads versus other countries, or a renewed pessimism setting in on China's growth. These are certainly possible if we see a strong inflationary impact from the war in Iran, or if China's efforts to bolster domestic demand fall short.

Forecast band shifted lower as CNY continues to outperform



Sources: Bloomberg, ING

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Rates Spark: As the dust settles, there’s still a price to pay

Lower oil prices help rates reduce hawkish takes on central banks, resulting in diminished expectations for an April hike from the ECB or BoE, and a re-build in a Fed rate cut rationale. But a relatively flat 2s5s suggests that the hit to the medium-term growth outlook might be more lasting. Curves can still steepen, though, overall, from both ends

Market reaction to the two-week ceasefire has been risk-on and, in general, relief trades

The dust settles on the craziness of the past 24-48 hours, and talk now rumbles on

Our reading of events, as they unfold, point to the logic of upholding the Iran war ceasefire, and an extension through to a virtual end to these specific hostilities. The US will want to get hands on Iran's enriched uranium, and if they do, may then hold their nose as Iran assumes a 'monitoring' role over the Strait (even if no more than a covert thing).

The market reaction to all of this was predictable; risk-on, and generally relief trades. For the rates market, front ends are under less rate hike pressure, and in the US the rate-cut story for later in 2026 is very much in play (has remained our view). For longer maturities, it's more opaque. The reality is, we are still left with an elevated inflation dynamic through the coming number of months, and that remains an issue for inflation unprotected fixed-income product.

The impact reaction of the ceasefire news has seen yields fall right across curves, but the lingering effect risks a subsequent re-elevation in longer tenor yields, steepening curves from both ends. The 5yr area of the US curve has been re-richening, in line with a rate cut expectation, but that often co-exists with overall curve steepening.

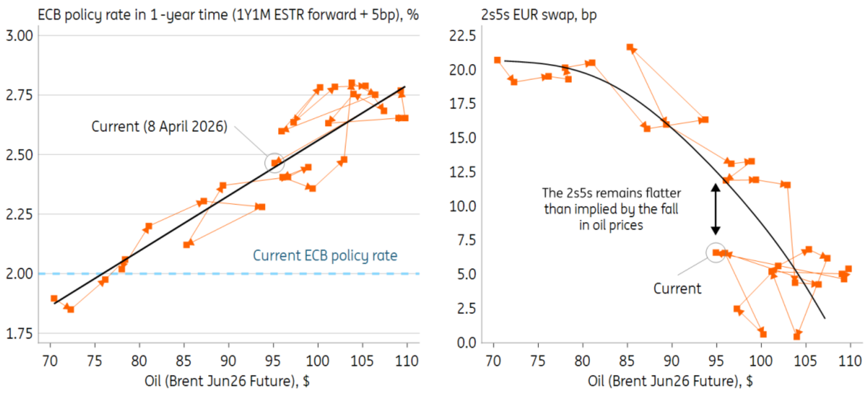
Markets are retracing some of the rate hikes but growth impact may be more lasting

With oil trading well below $100 again, rate markets have more room to breathe and so do central banks. At first sight, rates are simply following the playbook from the past month and are returning to the state when oil was at these lower levels before. This is in line with the idea that any inflation triggered by oil will only be short-lived with limited second-order effects.

As a consequence, markets are less set on European Central Bank or Bank of England rate hikes already in April, which should help mitigate rates volatility in the near term. Central banks will be reluctant to hike but at the same time cannot risk a perceived policy error. With near-term hiking expectations smothered for the time being, central bankers will have a bit more time to decide on the next move. In effect, this helps reduce the risk of a surge in longer rates if central banks are perceived to be reacting too slowly, resulting in a further rise in inflation expectations.

But when we dive deeper into the curve we can see that the move is not fully symmetrical. The EUR and GBP 2s5s curves remain flatter than before, which suggests that the medium-term growth outlook could face a more lasting hit. Because as the belly of the curve outperforms, markets are flagging a need for monetary easing to address growth concerns in the period after the initial inflation shock.

Front-end is retracing on lower oil prices, but the belly of the curve suggests a still worsened growth outlook



Source: ING, Macrobond

Thursday's events and market views

All eyes remain on the Middle East and whether the ceasefire can hold. Data is less relevant, especially when it pertains to the month of February, such as the US personal spending and income data and the PCE deflator, the latter usually the Fed's preferred measure of inflation. We will also get the final US GDP reading for fourth-quarter 2025. At best, this data can give a better sense of the economy's starting point going into the crisis. The weekly jobless claims data is the only more contemporaneous release, and it comes on the heels of last Friday's strong jobs report.

On the European side, German and Spanish industrial production data may get some attention. But most want to listen to what ECB officials are saying now that geopolitical situations no longer look as dire. Scheduled to speak is the Dutch central bank's Sleijpen.

In primary markets, Finland is selling a new 10y benchmark via syndication. Other European supply will come from Spain, which reopens 3y, 5y and 10y bonds as well as an 11y inflation-linked bond. But also in the broader SSA space, it appears issuers are using the window of opportunity, with also KFW (5y green), COE (7y social) and UNEDIC (6y social) having mandated bond sales.

Elsewhere, the UK will auction 7y gilts (£4bn) and the US Treasury will auction 30y bonds (US$22bn).

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The US tariff shock in 2025 vs 2026 – same negative impact, different drivers

The US tariff shock of 2025 was historic, but its impact on Europe was partly cushioned as tariffs on rival suppliers rose, keeping Europe's US market position broadly intact. Even so, exports fell amid higher tariffs and uncertainty. With tariffs converging to 15% in 2026 for most partners, Europe's competitiveness is set to deteriorate

One year on from the historic US tariff rollout, the impact is becoming clear

The rollout of new US tariffs in 2025 triggered months of uncertainty and market volatility. One year on, their impact is becoming clearer. Although the tariff hike was historical, its direct effect on the European economy proved more muted than initially feared. This not only reflected exemptions, tariff front-loading and strong US demand for pharmaceutical imports (especially from Ireland), but also the fact that US tariffs on many competing suppliers also rose sharply in 2025, temporarily preserving Europe's competitive position on the US market. Still, higher tariffs, the stronger euro, and heightened uncertainty weighed visibly on EU US trade.

Looking ahead, the drivers of EU-US trade are shifting. The Turnberry deal locks in a 15% tariff rate for EU exports, while tariffs on competing countries are also set to converge towards 15% in 2026. Countries such as China (31.1% effective tariff rate in 2025), India (20.5%) and Indonesia (20.8%) will therefore face substantially lower tariff rates than in 2025, eroding the EU's relative position on the US market. As a result, the drag on EU exports is likely to persist, driven less by uncertainty and tariff asymmetries and more by a deterioration in relative competitiveness.

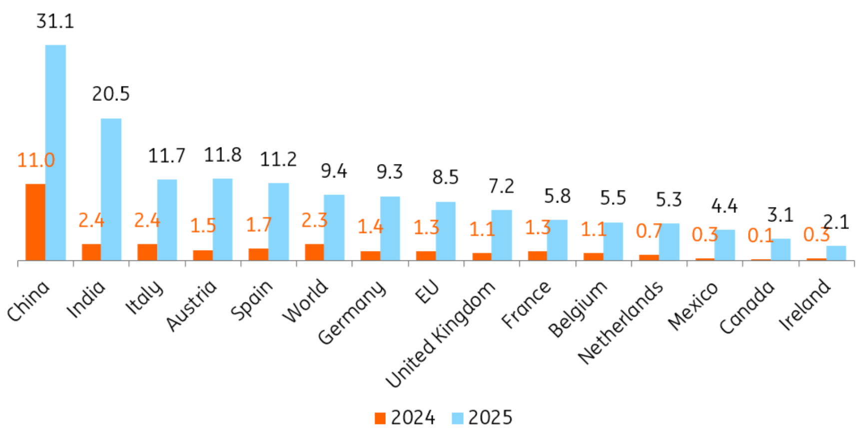
US tariffs jumped sharply in 2025, but less than feared

US tariffs increased sharply in 2025. The effective tariff rate rose by 8.1 percentage points, a historic jump, but one that ultimately proved less severe than the most adverse scenarios had anticipated. This more benign outcome partly reflected tariff stacking rules and sector specific exemptions, and partly the ability of exporters to adapt by rerouting trade flows or adjusting the composition of shipments to the US market.

For the EU, the effective tariff rate climbed to 8.5% in 2025, up by 7.2ppt compared with 2024. Despite the EU's common external tariff, effective tariff levels varied across countries due to different export structures and access to exemptions. As such, France, Belgium, and the Netherlands faced roughly half the effective tariff burden of countries such as Germany, Italy or Spain.

Large differences in effectively applied tariff rates, even within the European Union

US effective tariff rate, December values (%)



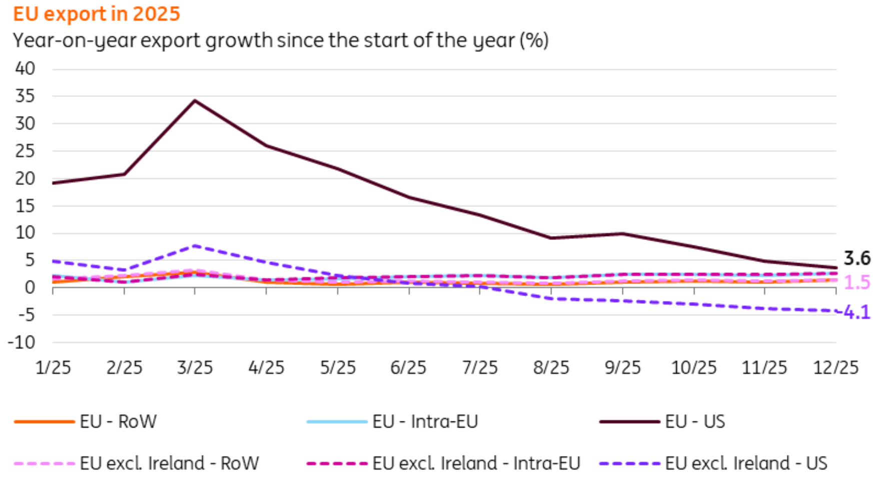
Source: US Census, ING Economic Research

EU-US exports in 2025: Tariff front-running, Irish outperformance and a sharp post-tariff decline

EU exports to the US followed a highly uneven pattern in 2025. Ahead of Liberation Day, exporters rushed shipments across the Atlantic in anticipation of higher tariffs, temporarily boosting exports by up to 35% year-on-year. This front loading effect was particularly pronounced in Ireland, where strong US demand for weight loss related pharmaceutical products largely offset the negative impact of tariffs throughout the year.

Once higher tariffs took effect, however, EU US trade weakened markedly. EU exports to the US, excluding Ireland, fell by 4.1% in 2025, despite exports to the rest of the world increasing by around 1.5% last year. This sharp difference suggests that the tariff shock had a strong negative impact on EU US trade, even if it was temporarily masked by front loading and Ireland specific factors, and broader macroeconomic developments like the strengthening of the euro.

EU exports to the US surged ahead of tariff hikes but fell markedly once higher tariffs took effect



Source: Eurostat Comext, ING Economic Research

Tariff impact in 2025: Uncertainty amplifies the hit, competitiveness cushions the blow

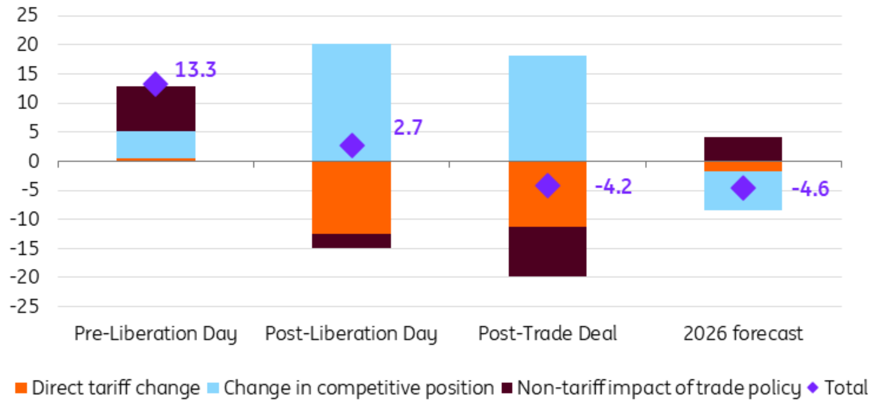
Given these overlapping effects, what was the net impact of US tariffs on EU US trade in 2025? To answer this, we isolate and decompose the impact of US trade policy on EU trade into three channels using a regression framework.

1. The **direct tariff effect** was immediate and sizeable. Following Liberation Day, higher tariffs triggered a strong fall in demand, depressing EU US trade.
2. This negative impact was more than offset by the sharp increase in **tariffs faced by competing suppliers** on the US market, such as China and India. As a result, the EU effectively regained ground relative to the direct tariff shock.
3. Tariffs also affected trade through **non tariff channels**. Heightened uncertainty initially encouraged tariff frontrunning, but later led to postponed investment and exports, as well as lower trade volumes due to rising administrative and compliance burdens.

Taken together, the direct tariff impact, shifts in relative competitiveness and uncertainty related effects point to a net reduction of around 4.2% in EU US exports in 2025. This estimate captures the pure impact of tariffs, abstracting from broader macroeconomic conditions. Yet, it aligns remarkably closely with the observed decline in EU exports to the US once the exceptional surge in Irish exports is excluded.

US tariffs are estimated to reduce EU-US exports by more than 4% in both 2025 and 2026

Estimated impact of tariff changes in 2025 on European exports to the US
Year-on-year export growth since the start of the year (%)



Source: ING Economic Research Note: The estimated effects of tariff changes are derived from a gravity model of European exports at the sectoral level. The model uses effective US tariff rates and controls for general macroeconomic developments and other policy measures. The 2026 projection assumes the conclusion of a trade agreement between the EU and the US, leading to a slight increase in effectively paid tariffs, whose economic impact is assumed to strengthen gradually over time. At the same time, the projection assumes a decline in non-tariff barriers due to greater policy certainty and the global statutory tariff levels converging towards 15%.

More certainty, higher tariffs ahead

Against this backdrop, the endorsement of the Turnberry deal by the European Parliament marks a clear turning point in EU US trade relations (even if national ratification still has to follow). By ruling out the near term use of tariff coercion instruments, the agreement brings greater clarity and predictability. Fixing tariffs at 15% should reduce trade policy uncertainty and ease non tariff frictions, lowering compliance costs for firms exporting to the United States.

That clarity, however, comes at a price. Locking in a 15% tariff likely implies a higher effective tariff rate than the 8.5% observed in 2025. As a consequence, the EU's relative competitive position is set to weaken in 2026 as Europe's competitors in the US markets, like China, India, and Indonesia, will benefit relatively more from the US Supreme Court's ruling and the rollback of IEEPA related tariffs.

Taken together, higher tariffs and a deteriorating relative competitive position will outweigh the benefits of increased certainty in 2026. Unlike in early 2025, exporters can no longer rely on tariff frontrunning to cushion the impact. Moreover, as firms gradually adjust and substitution possibilities increase, trade responses will intensify. As a result, EU export growth to the US is expected to slow further by around 4.6% in 2026 due to tariffs alone, abstracting from broader macroeconomic developments, even though the underlying drivers differ from those observed in 2025.

Overall, the tariff shock may have been less dramatic than initially feared based on headline numbers, but its economic damage is already evident and is likely to extend into 2026. Diversifying trade towards partners such as Mercosur and India is both a necessary and welcome policy response, but these markets still fall short of the depth of the US market. This reinforces the importance of strengthening the EU internal market as a key policy priority going forward.

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Disclaimer

Hungary's positive economic momentum fades

Fresh data for February was a mixed bag after a strong January: industrial production surprised on the downside, while retail sales continued to grow steadily. There is still hope for meaningful GDP growth in the first quarter, but the recovery will remain uneven

The Hungarian Central Statistical Office (HCSO) has released figures on retail sales and industrial production for February. These releases presented the first negative surprise of 2026 in terms of Hungary's economic performance. Although this new set of data sent mixed signals and broke the clearly positive momentum, we still believe that Hungary's long-standing stagnation will end this year. However, there are many uncertainties surrounding local and geopolitical issues.

Regarding the outlook for Hungarian GDP in 2026, the latest retail and industrial data suggest moderate progress. Retail sales growth has stabilised and could accelerate further if consumer confidence remains strong. Meanwhile, despite the decline in the volume of industrial production in February, we still anticipate an increase in production this year. This means that there is still hope that both sectors will positively affect the average annual economic growth rate.

Hungarian industry came as a negative surprise

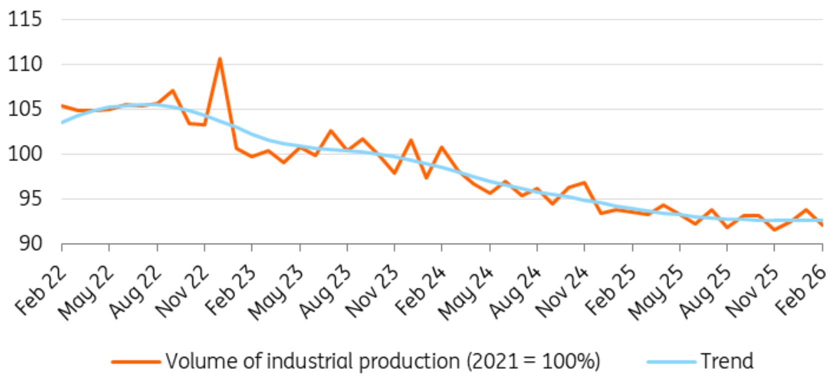
-1.5%

Industrial production (YoY, wda)

ING estimate: 0.0% / Previous: -0.3%

The positive performance of the previous two months came to an end in February 2026, with Hungarian industry faltering again. Production volume fell by 1.8% month-on-month, causing the year-on-year indicator to deteriorate significantly. Compared to February last year, production was 1.5% lower this year. This performance fell far short of market expectations.

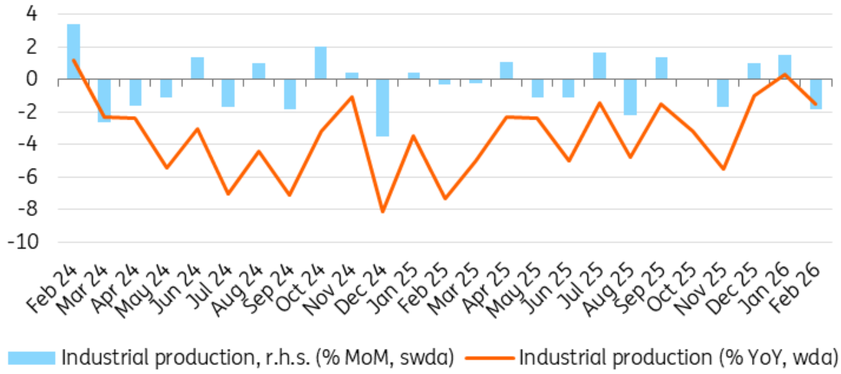
Volume of industrial production



Source: HCSO, ING

However, there is some good news: the strong performance of the past two months has not been completely wiped out. Although the fixed-base index deteriorated in February, it remains higher than its most recent nadir. While the performance relative to the monthly average for 2021 remains poor (-7.8%), the absence of a new low point may indeed signal that things can only get better. Nevertheless, this assertion seems somewhat reckless given the war in the Middle East, which poses numerous risks to Hungarian industry, including soaring energy prices, rising raw material costs, potential supply chain disruptions, and shaken business and consumer confidence.

Performance of Hungarian industry



Source: HCSO, ING

As this is a preliminary report, the HCSO did not provide many details. However, based on the brief commentary, there is nothing new. Production declined year-on-year in most manufacturing subsectors, with electronics manufacturing being the exception once again. It is somewhat surprising that battery production has started to trend upwards, but the low base may explain this. Meanwhile, despite the launch of the new EV car factory in Debrecen, vehicle production output declined, and the food industry continued its downward spiral.

Fundamentally, the new export capacity coming online this year gives us hope for some more lasting improvement, although the results so far are rather mixed. Taking the geopolitical situation into account, however, this upturn is more likely to occur in the second half of the year. Consequently, it is possible that the fixed-base index could reach the monthly average of 2021 by the end of this year. Therefore, while Hungarian industry's full-year performance in 2026 may not be explosive, sectoral growth could average 3–4% annually. In other words, after three years of industrial recession, industry could contribute positively to the overall performance of the Hungarian economy, provided these prospects are not derailed by the effects of the war in the Middle East.

Hungarian retail sales growth not losing momentum

3.8%

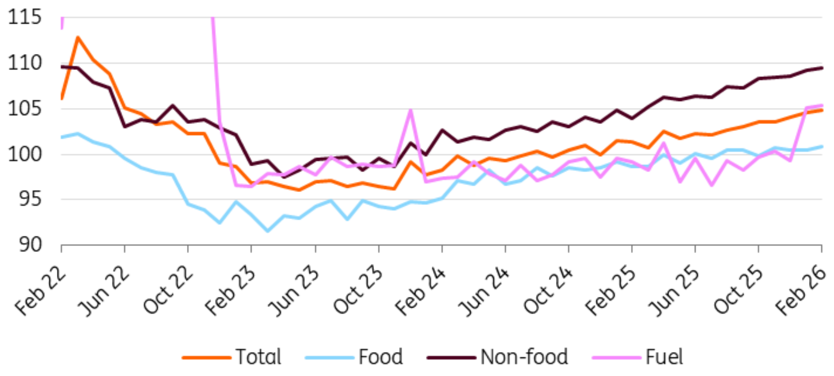
Volume of retail sales (YoY, wda)

ING estimate: 3.9% / Previous: 3.5%

Although the positive trend did not continue in the industrial sector, Hungarian retail performed well in February. Domestic retail sales grew by 0.4% month-on-month, marking the seventh consecutive month of growth. Year-on-year, the 3.8% calendar-adjusted growth was broadly in line with analyst expectations and showed a slight acceleration compared to the previous month.

Examining longer-term trends, retail sales volume in February was 4.9% higher than the monthly average for 2021, indicating sustained growth in the sector as the upward trend has persisted since late 2023, albeit with minor fluctuations. However, as the pace of growth has stabilised over the past few months, the current fixed-based figure can be considered a high not seen for over three-and-a-half years.

Retail sales volume in detail (2021 = 100%)

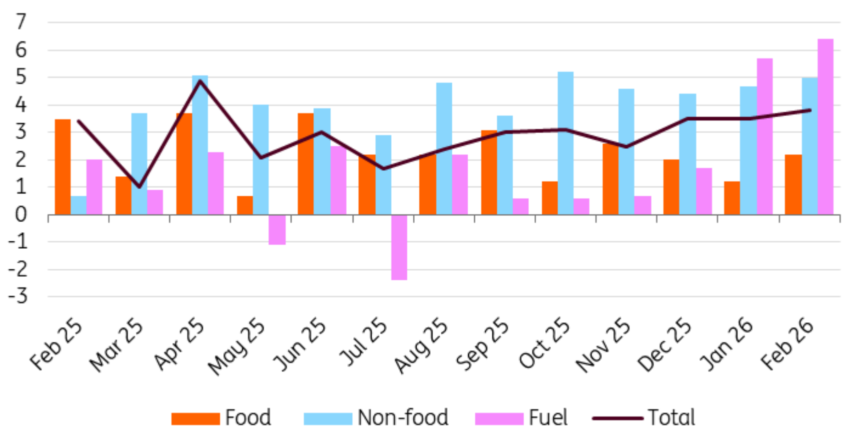


Source: HCSO, ING

Looking at the details, food store sales grew significantly on a monthly basis following two months of stagnation, a trend which is likely to be linked to the additional pension payments. Sales volume also increased in non-food stores month-on-month. Within this segment, however, the picture is very mixed. Turnover from mail-order and internet purchases fell significantly after the sharp increase the previous month, supporting our theory that the January surge may have been the result of the extreme cold weather.

Turnover at second-hand goods stores declined substantially for the second consecutive month, which may indicate an improvement in households' financial situation. The combination of the above-mentioned factors (weather and disposable income) likely contributed to the monthly increase in sales at furniture and electrical goods stores. However, the drastic price increase for computer equipment resulted in a significant decline in sales in February. Fuel sales rose only slightly compared to the previous month, possibly reflecting the impact of rising fuel prices.

Breakdown of retail sales (% YoY, wda)



Source: HCSO, ING

Overall, we saw a general improvement in performance in February, boosted by a few one-off factors too. Consumption is likely to remain one of the main drivers of the Hungarian economy in the first quarter of 2026, while sluggish industry (hence exports) suggests that poor foreign trade performance may have held back GDP growth during this period. Therefore, the main question regarding this year's economic growth will be whether exports pick up, whether investment will move upwards from its low point, and whether another energy crisis can be avoided. If the answer to any of these questions causes disappointment, this would present further challenges to achieving our projected GDP growth of 1.6% for this year.

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FX Daily: Global FX comes back from the brink

News of a two-week ceasefire in Iran has seen a sharp recovery in risk across all asset classes. Higher equities, bullish steepening of yield curves, and a broad recovery in currencies against the dollar look to be the short- term trend as investors assess whether this ceasefire can lead to more sustainable peace

The most impactful news overnight has been Iran's announcement that it will allow safe passage for traffic through the Strait of Hormuz during this ceasefire

USD: A welcome retreat

Risk assets are rallying as combatants in Iran pull back from the brink. The most impactful news overnight has been Iran's announcement that it will allow safe passage for traffic through the Strait of Hormuz during this ceasefire. Expect now a close monitoring of traffic flow through the Strait, where a significant pick-up in volume would weigh further on oil prices and reverse the stagflationary investment trends witnessed in markets over the last month. These trends had been dominated by the dramatic bearish flattening of yield curves, equity weakness and a stronger dollar.

Don't expect a complete reversal of March trends, however. A good example overnight is the Reserve Bank of New Zealand considering a pre-emptive rate hike in the face of an energy-driven spike in headline inflation. Here, the previously dovish RBNZ revised up its 2Q26 CPI forecast to 4.2% from 2.8%, stating that the outlook had 'materially altered' and signalling 'decisive and timely' increases in its policy rate should second-round inflation effects emerge. We suspect this tough talk will be a template for many central banks through the second quarter – perhaps one of the reasons why the short-end of the yield curve does not entirely retrace the March sell-off.

In FX, March saw many currencies fall between 2-5% against the dollar. The New Zealand dollar has already retraced around 40% of its losses, and a 50% retracement looks a sensible and preliminary target for most currencies. That means high-beta commodity and emerging market currencies could witness a 2% recovery on the day (from recent lows), while the low-beta currencies could gain 0.5-1.0%.

The US data calendar is relatively light today, with only the FOMC minutes released tonight. On the subject of the Federal Reserve, Philip Jefferson was the latest member to say that monetary policy is 'well-positioned' for the current environment. Markets have now started to price back in Fed rate cuts towards the end of this year (-14bp priced for December), although pricing could prove quite sticky around unchanged rates.

DXY rallied just over 3% through March. It has gapped lower today, and a further sell-off to 98.50 looks possible. However, there remains too much uncertainty to expect a full unwind of the March rally, and it is therefore premature to call for a break under 98.00.

Chris Turner

CEE: Currencies are running back to pre-conflict levels

Yesterday's March inflation in the Czech Republic showed a lower-than-expected figure of 1.9%, similar to Poland, but the details show an unpleasant increase in prices. Service prices accelerated again to 4.7%, back to January levels, and in our estimates, core inflation likely increased from 2.7% to 2.8% year-on-year. The Czech National Bank still has enough room to wait for further developments, but yesterday's figure was not the best news for the central bank.

Today, Hungary will publish its March inflation data. Here, we expect an increase from 1.4% to 2.2% YoY. Despite the government acting quickly to cap fuel prices, the impact will still be significant. The increase in the minimum wage will probably continue to put pressure on service prices, and the significant weakening of the forint will also push up imported inflation.

Markets, however, remain unimpressed by the data in the CEE region, and everything continues to be driven by geopolitical headlines. Headlines about the ceasefire overnight triggered a strong rebound in EM currencies, including those in the CEE region, and this is likely to continue after today's opening.

EUR/HUF is approaching 375 – levels seen before the start of the US-Iran conflict – and the forint is expected to be the main beneficiary as the market returns to pre-conflict and pre-election positioning. In turn, it shouldn't be a surprise if we get below 375 by the end of the week should the geopolitical situation persist. EUR/PLN and EUR/CZK have erased about half of their upward moves since the start of the conflict, and as lower-beta currencies within the region, they will probably need more time to recover to the pre-conflict levels of 4.220 and 24.250.

Frantisek Taborsky

EUR: Reprieve

EUR/USD is enjoying a strong bounce on the ceasefire news. 1.1800 was its level before the start of the conflict, and we doubt investors will want to immediately push it all the way back to that level now. Something like 1.1730/1750 could be the best case this week.

Eurozone data today includes PPI and retail sales readings for February. These look unlikely to move the market, and there is also little steer from European Central Bank speakers this week. More interest should emerge next week, with many ECB officials in Washington for the IMF meetings. Expect them to continue talking tough about the risk of a pre-emptive rate hike, although overnight developments will now present some breathing room.

Elsewhere, one might have thought EUR/GBP could be trading a little higher were Bank of England policy tightening to be priced out more quickly than that of the ECB. Still, EUR/GBP continues to trade over 0.8700 and should find good support on dips.

Chris Turner

CNY: Adult in the room

Not only did the People's Bank of China keep the renminbi supported during the March crisis, but it has also taken its first opportunity to encourage more renminbi strength by delivering a lower USD/CNY fix today. The onshore USD/CNY has gapped down to a new low below 6.83. Investors will be guessing whether the PBoC is looking for a stronger renminbi to support domestic demand or if it is positioning the renminbi as a more reliable long-term store of value as an alternative to the dollar.

Either way, the renminbi has shown strong credentials during the March crisis. Expect to see strong rallies in China-linked currencies like the South African rand, Brazilian real and Australian dollar today. The renminbi move also provides a tailwind for the recovery in Asian FX. The high-beta Korean won is in demand. Helpful has been Korea's record $23bn monthly current account surplus. Should energy prices stay subdued, USD/KRW could make it back to the 1450/60 area.

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The Commodities Feed: Oil slumps below $100 after US, Iran agree to two-week ceasefire

Oil slumped below $100 a barrel after the US and Iran agreed to a two-week ceasefire

The announced ceasefire is expected to halt the US-Israeli military campaign in exchange for Tehran reopening the Strait of Hormuz

Energy – Oil slumps below $100

Oil prices plunged below $100/bbl after the US and Iran agreed to a two week ceasefire, easing fears of prolonged supply disruption. Brent fell as much as 16% before trading around $94/bbl, while WTI recorded its steepest drop in almost six years, last trading near $96/bbl.

The ceasefire is expected to halt the US Israeli military campaign in exchange for Tehran reopening the Strait of Hormuz. The proposed framework reportedly allows Iran and Oman to levy transit fees on vessels passing through the strait.

Further price direction will hinge on whether talks translate into a durable agreement and a sustained normalisation of flows through the strait, with volatility likely to persist during negotiations later this week.

Refined product prices followed crude lower. European diesel futures fell as much as 23%, marking their largest decline in more than four years, while futures linked to Abu Dhabi's Murban crude dropped 19% – the sharpest fall since the contract's launch in 2021.

US inventory data added to the bearish tone. The API reported a 3.7mb build in US crude stocks last week, well above expectations for a 0.78mb increase. In contrast, refined product balances were more supportive, with gasoline and distillate inventories falling by 4.0mb and 0.6mb, respectively. The EIA inventory report is due later today.

The EIA has trimmed its medium term US supply outlook. In its latest Short Term Energy Outlook, the agency lowered its 2026 US crude production forecast to 13.51mb/d, from 13.61mb/d previously, but expects output to rebound to 13.95mb/d in 2027 amid a higher price environment and continued Middle East disruptions. US petroleum consumption is expected to be broadly flat at around 20.6mb/d this year and 20.7mb/d in 2027.

OPEC supply fell sharply in March, according to preliminary Bloomberg survey data, with production down by around 7.6mb/d month on month to a multi decade low of 22.1mb/d, reflecting war related disruptions and curtailed exports through the Strait of Hormuz.

Iraq posted the largest decline, with output falling by 2.8mb/d to 1.6mb/d. Saudi Arabia's production dropped by 2.1mb/d to 8.4mb/d, while UAE output fell by 1.4mb/d to 2.2mb/d, partly cushioned by pipeline routes bypassing the strait. Reopening the Strait of Hormuz could allow some lost production to return in the coming weeks, though a full normalisation will be gradual.

Metals – Gold climbs on ceasefire hopes

Gold climbed above $4,850/oz after the US and Iran agreed to a two week ceasefire, including the reopening of the Strait of Hormuz, easing immediate geopolitical tail risks. The move reflected a broader improvement in risk appetite, extending across precious and industrial metals.

Despite the rebound, gold remains around 11% below late February highs, following forced liquidation during the escalation in Middle East tensions, which temporarily weakened its safe haven appeal. Sentiment, however, is showing tentative signs of stabilisation.

In industrial metals, copper climbed to a three week high as risk appetite rebounded and fears of severe supply disruptions eased. Relief around shipping routes has been particularly supportive for sentiment, with the ability of vessels to transit the Strait of Hormuz especially critical for aluminium – the region accounts for around 10% of global aluminium supply.

Looking ahead, metals prices will be shaped by whether the ceasefire evolves into a more durable agreement, alongside US monetary policy expectations, with Federal Reserve communication, inflation data and real yield dynamics key near term drivers.

Agriculture – Coffee slides on surplus concerns

Robusta coffee extended its decline, falling for a second consecutive day. It traded to its lowest level since March 2024, driven by higher shipments from Vietnam and growing expectations of global surplus. Recent estimates from Vietnam's General Statistics Office indicated that March coffee exports totalled 217kt, up 13.3% YoY, while first-quarter shipments rose 14% YoY to 585kt. Looking ahead, Vietnam's coffee output for 2025/26 could rise by around 5-10%, compared to 1.8mt recorded in the 2024/25 season. Sentiment has also weakened on forecasts of a sizeable surplus in the 2026/27 season, as Brazil moves towards a record harvest.

The Indian Sugar Mills Association (ISMA) has trimmed its 2025/26 gross sugar production estimate to 32mt, including volumes diverted to ethanol, due to lower yields in key producing regions. This is down from the earlier projection of 32.4mt. Domestic sugar consumption is now expected to reach 27.7mt, down from an earlier estimate of 28.1mt, as LPG shortages and cooler weather dampen demand. Meanwhile, exports are projected at 800kt for 2025/26.

Meanwhile, the Food and Secretary Ministry of India clarified that the nation does not plan to impose a ban on sugar exports. Instead, surplus could be redirected to ethanol production to offset oil disruptions linked to the Middle East tensions. The government is also reviewing the industry's proposal to raise the minimum selling price.

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Disclaimer

Rates Spark: A gift from Pakistan

We're not sure what will happen at 8pm this evening. But a window has just been presented by a call for a two-week ceasefire. There has been no reaction to this as of yet from the US. But it does present an opportunity to take us away from the brink. The alternative is concerning

As we approach another deadline, there are calls for a two-week ceasefire via Pakistan

On the brink of a delta, and it has the more potential to be positive rather than negative

In the past few weeks, we've monitored the ups and downs in the Iran war. A few weeks back it seemed that President Trump had declared victory and was preparing to wind things down (here). That proved a false dawn. Then things moved in a sinister fashion, and we highlighted the deterioration (here and here), with specifics based off elevated break-even inflation rates, rises in Treasury yields and a downsizing in rate cut expectations. The backstory saw Iran take control of the Strait of Hormuz, shifting the initiative from the US. And we roll on to Tuesday where an 8pm deadline looms, beyond which a severe threat has been laid before Iran.

In many ways, this is much worse than tariffs, as you just pay these and move on. Here, a global energy crisis is a whole different dimension, and it comes with both a price and demand shock risk, the outcome of which is actually not in the hands of the US. It's in the hands of Iran. In the past hour, there has been a call for a two-week ceasefire, via Pakistan, as part of the negotiations. This presents an opportunity for President Trump to seize the initiative, and take us away from the brink.

> *In actuality, this war must end in the next couple of weeks, else we are on the precipice of a pandemic-style shutdown in many regions of the world, with a global recession risk to boot*

The immediate issue, and the clearest transmission mechanism to bonds and Treasuries, is through inflation, with front-end break-evens in the 3-5% zone, and the prognosis for Treasuries is the curve keeps edging higher. This whole scenario is outright bad for President Trump. Opinion polls suggest no chance for Republican success in the mid-terms. A good chunk of his base voted for him on the theory that there would be no more wars like this one, and at the moment, the Republicans are at risk of losing both houses.

End the war quickly and declare victory presents and out for the President. If we have not ended this war in the next few weeks, we risk a significant sell-off in risk, and in bonds. In that world, yields will get to levels where they represent value as we begin to worry more about global recession than inflation, and then yields really flop lower, substantially. It's a roller-coaster that would not be comfortable for the President. So, best to avoid getting on to it.

Wednesday’s events and market views

Markets will primarily be watching headlines for any developments related to the Iran conflict. In terms of data, we start with German factory orders and eurozone PPI data later, but since both are from February, these figures won't be moving the needle. From the US, we first have weekly mortgage applications data, but the more interesting thing to watch should be the FOMC meeting minutes from 18 March. Markets are still in debate as to what the next move from the Fed will look like.

In terms of issuance, Germany will auction 10Y Bunds for €5bn and Portugal 10Y and 14Y OTs totalling €1.5bn. From the US we have a 10Y Note for $39bn on the agenda.

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Energy shock set to push building material prices higher

Higher energy costs are raising building material prices. Producers use less coal than they once did, but compared to 2022, they have the same exposure to oil and gas. Price increases from the Middle East conflict will therefore likely be passed on to buyers. Contractors should prepare for rising input costs

Producers of building materials such as cement, concrete and bricks rely heavily on energy

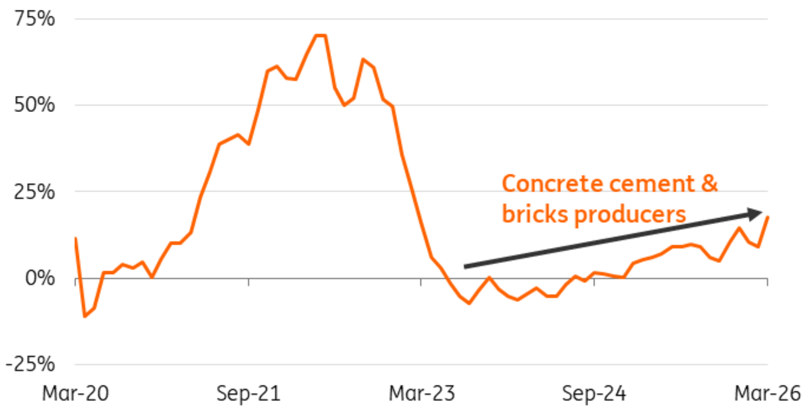
More price increases expected

Many sectors will be impacted by the current surge in energy prices caused by the conflict in the Middle East. As noted previously, producers of building materials such as cement, concrete and bricks rely heavily on energy. If energy prices remain high, these manufacturers are likely to pass increased costs on to construction companies, which will put pressure on profit margins and lead to higher overall building costs. This, in turn, could result in reduced production volumes.

Early indications point to rising building material costs. In March, a net 18% of EU building materials suppliers anticipated increasing their sales prices over the next three months. This figure represents the highest percentage observed in three years since the energy crisis of 2022. Yet, the number doesn't come close to the levels of the energy crisis in 2022.

Rising number of building material producers expect price increases

Balance of building material producers in the European Union that expect to increase/decrease output prices (over next three months)



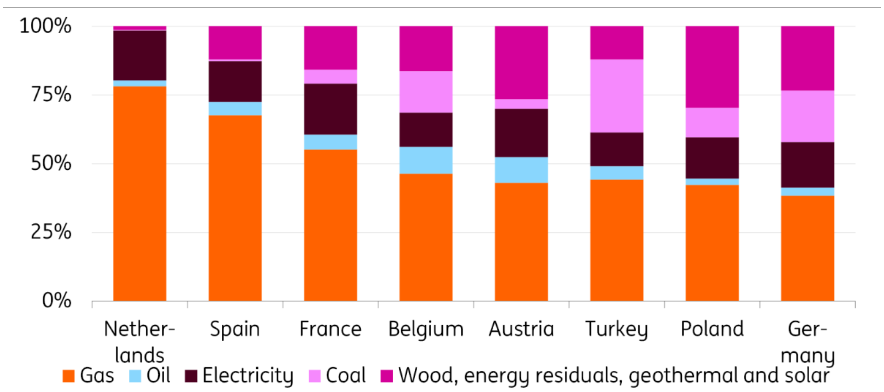
Source: European Commission, ING Research

Different energy sources among countries

Heating sources differ among producers across European countries. For example, gas is commonly used in the building material sector in the Netherlands and Spain. In contrast, producers in Poland and Germany depend more on coal, wood, natural energy inputs and energy residuals. This makes building material producers in the Netherlands and Spain relatively vulnerable to the current price increases in gas. Dutch producers are also reporting the strongest expected increase in output prices.

Building material producers in Spain & the Netherlands are higly depending on gas

Used share of total energy sources in terajoule in cement, concrete & brick industry, 2024



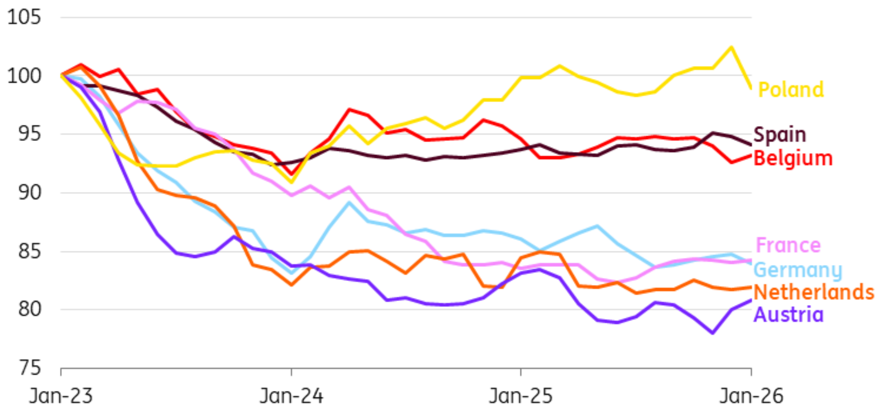
Source: Eurostat, ING Research

Building material production at a low level
The rising cost of energy is hitting the building materials sector at a challenging time. Many

countries have experienced significant production declines over the past few years, largely because fewer new residential and non-residential buildings are being constructed. Building permits for new homes have shown an uptick since the end of 2025, offering some positive signs for the sector. Yet ongoing market uncertainty, increased material costs and hesitant consumers may threaten this positive trend.

Building material production has declined across Europe

Volume of production in building material industry (eg. concrete, cement & bricks), Index January 2023, three-month average SA



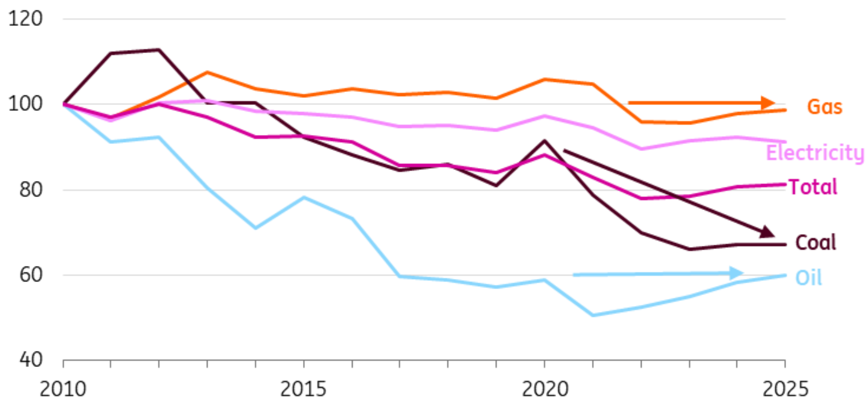
Source: Eurostat, ING Research

Decline of oil dependency, but not in the last five years

In the period 2010-2020, the amount of oil as a heating source has decreased substantially in the sector, although it hasn't witnessed a further decrease in the last five years. Between 2020-2025, companies mainly phased out the use of coal, while the relative amount of used gas has remained more or less the same for the last 15 years. Building material companies have become more sustainable due to the reduced reliance on coal, but the dependency on oil and gas hasn't really decreased. The higher energy costs are therefore still a burden to the industry.

Building materials sector moves away from oil and coal, but not yet from gas

Development of energy intensity per output (mtoe/ USD 2015 billions) in the EU building material sector



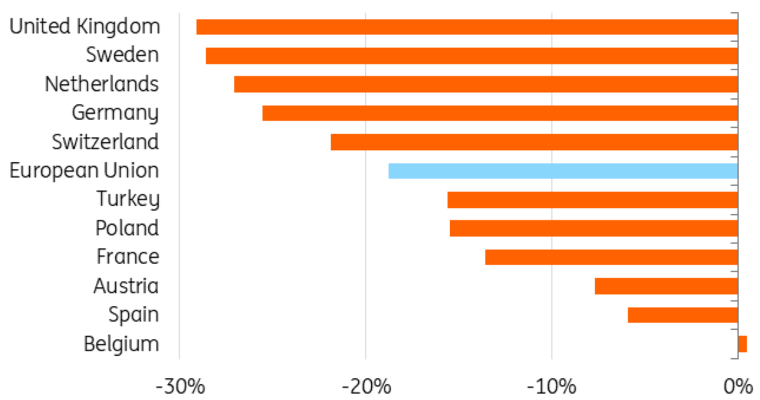
Source: Oxford Economics, ING Research

UK and Sweden frontrunners

Within Europe, the UK and Swedish building material producers stand out for having made strides in lowering their energy intensity. The UK, in particular, has taken major steps by phasing out oil and coal from production. For instance, UK Hanson Cement (part of HeidelbergCement) has sharply reduced coal use at its Ribblesdale plant and replaced it with biomass and waste derived fuel. In Sweden, reductions in energy intensity have been more evenly spread across coal, gas, and oil inputs.

UK & Sweden have seen largest decline in energy intensive building materials

Change in energy intensity per output (mtoe/ USD 2015 billions) in the building material sector, 2025 compared with 2010



Source: Oxford Economics, ING Research

Fossil fuel risks persist in building materials

The European building materials sector still faces significant challenges from higher energy costs and new market uncertainty. While the reliance on oil and coal has decreased in the last two decades, the dependency on gas has remained more or less the same. In addition, the dependency on oil hasn't decreased since 2020.

The recent uptick in building permits offers a glimmer of hope for stronger demand, but a sustained recovery will depend on greater stability in energy markets and continued innovation in sustainable production methods. Without this, rising production costs risk pushing sales prices higher which, in turn, would weigh on demand. A firm commitment to greener, less energy intensive production processes will therefore be essential for long term resilience.

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Strong US jobs rebound after winter strikes and storms

A strong rebound in employment suggests the US economy is in a decent position to weather the economic headwinds from the Middle East conflict. Nonetheless, job creation remains concentrated in a handful of sectors, and rising uncertainty and caution are likely to make employers hesitant to accelerate hiring plans

The US economy added more jobs than expected in March following a weather and strike depressed February, but the Middle East conflict risks a slowdown

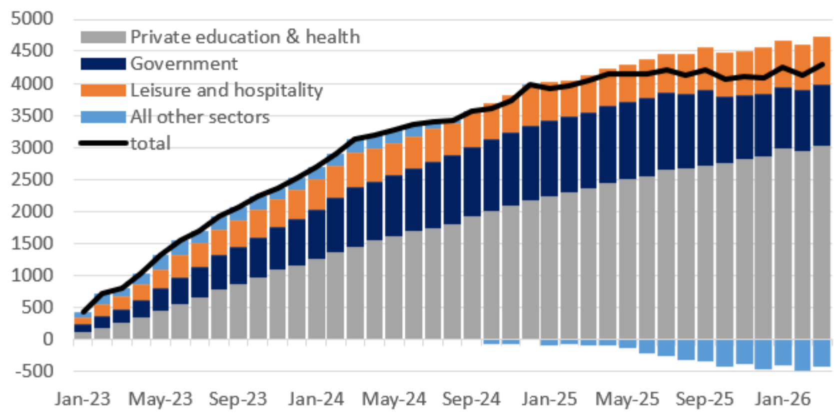
178,000 US jobs added in March

Strong growth, but with a lack of breadth

The headlines from the March US jobs report are good. Non-farm payrolls were up 178,000, well ahead of the 65,000 consensus estimate after a weather and strike-related drop of 133,000 in February. Meanwhile, the unemployment rate unexpectedly dropped to 4.3% from 4.4%. So, as with most of the data from the start of the year, it is a positive surprise and suggests that the US is on a firm footing to take on the economic challenges posed by the Middle East conflict.

That said, we need to acknowledge that the details within the reports again show the high degree of industry concentration for where jobs are being created. Private education and healthcare posted a 91,000 increase, boosted by the return of Kaiser Permanente's 31,000 previously striking staff. This sector has accounted for 70% of all jobs added since the end of 2022. Then there were an additional 44,000 jobs in the leisure and hospitality sectors, which account for 18% of all the jobs added since the end of 2022. The federal government workforce shrank again, but government in total still accounts for 22% of the jobs added over the same period.

Contributions to cumulative employment gains since December 2022 (000s)



Source: Macrobond, ING

Now, these don't add up to 100% because all other sectors combined have lost jobs since 2022, underscoring our point about the lack of breadth to job creation. Admittedly, we did see jobs added in retail, construction and manufacturing rise in March, but this may be more down to a rebound post the winter storm disruption that contributed to non-farm payrolls falling 133k in February (initially reported as a 92k drop), rather than a return to outright hiring.

Middle East conflict poses challenges for a stalled jobs market

Despite today's better-than-expected outcome, there are only 260,000 more people in work today than 12 months ago, implying that the jobs market has effectively stalled during a period when the US growth story was healthy. Our concern is that with the Middle East conflict showing little sign of coming to an imminent conclusion, an overlay of heightened geopolitical, economic and market angst is not going to incentivise business to suddenly start hiring now. In fact, with cost pressures rising and consumer spending power being squeezed by higher gasoline prices, corporate profitability will face more challenges and runs the risk that employers will look to cost containment measures. This threatens weaker payrolls numbers in the coming months.

Next Friday's March inflation print is likely to show headline inflation jumping back up to 3.4% from 2.4% in February, but with wage growth also slowing, we don't see the demand impetus that will lead to broad, persistent inflation. Instead, the headwinds to growth and jobs mean that we still see interest rate cuts as more likely than interest rate hikes this year.

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Disclaimer

Trump's 100% pharma tariffs will have a limited effect on the sector

On Thursday, news broke that the US will likely start levying a 100% tariff on branded pharmaceutical imports. The specifics remain unclear, but the levy is expected to be relatively narrow in scope, since many exemptions have already been negotiated. The step appears driven primarily by geopolitics, limiting the economic impact

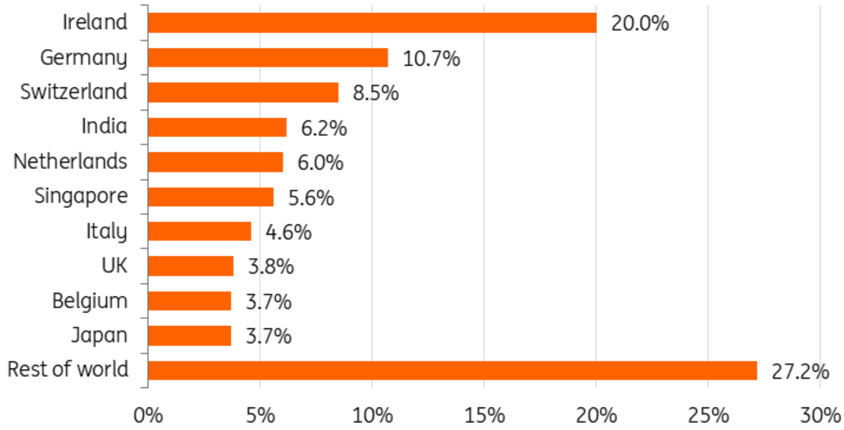
This new tariff appears driven by geopolitical considerations, limiting the economic impact

Which exemptions have already been negotiated?

We expect the 100% tariff to apply to branded pharmaceuticals for which no exemptions have been negotiated. This means tariffs on branded pharma goods imported into the US from the EU, Japan, South Korea, Switzerland, and the UK would be capped at the rates negotiated in bilateral deals. Also, 16 big pharma companies are exempt for three years after concluding deals with Trump to lower the prices of new and existing medicines under most-favoured-nation (MFN) principles. And it's likely that drugmakers now negotiating with the Department of Health and Human Services would be exempt. As such, the scope of this 100% tariff is rather limited, as evidenced by the US import figures below.

Most top exporters to the US are covered under trade deals

US imports of pharmaceutical products by country share, 2023



Source: Global Trade Tracker, LSEG Datastream; WITS; UN Comtrade; ING calculations

Why this tariff is mostly geopolitical

This leaves only companies without an MFN deal or a country-level bilateral agreement exposed to a possible 100% levy. The key countries involved include Singapore, India, and China –and only Singapore currently exports a substantial volume of branded pharmaceuticals to the US. The economic impact will therefore be negligible. Rather, the tariff is geopolitical in nature and should be seen as a shot across the bow for more intense competition between the US and China in biotech and pharma.

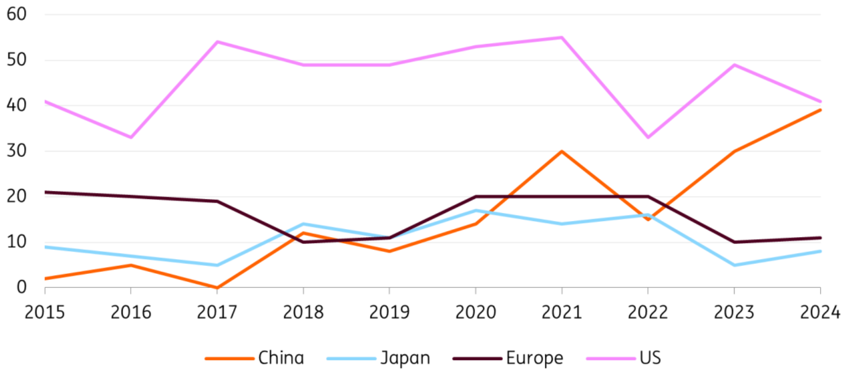
China has developed into a biopharmaceutical innovation hub. We estimate that roughly one third of all new molecules in global pipelines now originate in China – up from just 4% 12 years ago. The country has surpassed Europe and is nearing the US in the number of global drug approvals. This is why we believe that the next Pfizer will be Chinese rather than American or European.

US policymakers on both sides of the aisle have realised that China is a real threat to US dominance in biopharmaceutical innovation. This is why the new tariff follows an investigation by the Commerce Department that determined certain pharmaceutical imports pose a national security risk to the US, as well as deliberations in the House Select Committee on the CCP on the threat China poses to American biopharmaceutical innovation capacity.

In short, this is a geopolitical tariff with negligible short-term economic effects. We're likely to see many more such policies in pharma, as the sector is now formally considered important to national security by US policymakers.

China is nearing the US in global drug approvals

Distribution of first global approvals of innovative drugs, 2015-24



Source: Nature publication; BMI; ING

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